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Revenue \$111.2B +6.9%	Gross Margin 49.3% +150 bps	Cash \$45.6B FY26 Q2	Forecast 7.5% bias +7.5%
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Planning Recommendation

- Recommend maintaining the current capital-return pace through Q3 while prioritizing AI investment within existing funding capacity.
- Use subscription attachment upside as the first offset, with a visible gross margin guardrail.
- Hold ARPU flat until public evidence improves.

- FY26 Q2 revenue exceeded forecast by \$7,172M (+6.9%), while operating margin compressed 271 bps.
- Model bridge shows iPhone variance of \$3,534M and Services variance of \$2,007M.
- The next question is why: installed base, upgrade timing, ASP, region mix, subscription attachment, platform monetization, premium feature adoption, payments, and promotion timing.
- Public data does not isolate these drivers. The portfolio labels them as planning hypotheses, not reported Apple actuals.

- Installed base -> upgrade rate -> iPhone units -> iPhone revenue.
- Installed base -> subscription attachment -> recurring revenue.
- Services mix -> gross margin -> operating income -> EPS.
- AI-enabled feature rollout affects both sides of the tree: demand, subscription attachment, R&D, and infrastructure cost.

- Commercial / Marketing: Is subscription attachment structurally above plan, or was Q2 helped by platform monetization, premium services, payments, timing, channel mix, or promotions?
- Product / Sales: How much of the beat came from units, ASP, region mix, or premium feature adoption timing?
- Operations: Which AI infrastructure costs are committed, which are capacity buffers, and which can be phased?

- Forecasts are reconstructed from public financial data and explicit model assumptions.
- Quarterly segment actuals are implied, not directly reported actuals.
- Working-capital days are directional because seasonality is not yet modeled by quarter.
- Future improvements: regional forecast, installed-base model, subscription attachment bridge, and working-capital seasonality.